

13 Service Shutdown and Missed Interest Payment

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Prepared by fictional borrower operations and treasury team | Borrower: Duolingo Learning Services LLC

SYNTHETIC DEMO. This severe event is entirely invented for Duolingo Learning Services LLC. It is not a real incident involving Duolingo Inc. There is no asserted affiliation or guarantee; all evidence IDs, figures and statements below are fictional.

E01 Incident and operating evidence

Operational incident DUO-OPS-0404 began April 4 after database corruption disabled the production learning platform and its immediate replica. Telemetry records no successful lesson completions from April 4 through April 24, inclusive: 21 consecutive days. A staged restart began April 25. On May 10, only 30% of the pre-incident lesson capacity was available; the rest had no committed restoration date. No customer-data theft is asserted.

The finalized April trial cohort contains 70,000 eligible accounts and 700 successful annual purchases, or 1.00%. Of 70,000 annual accounts due to renew, 28,000 renewed within the existing seven-day window, or 40.00%. April opening paid accounts were 800,000. There were 42,000 nonrenewals and 700 new paid accounts, leaving 758,700 at April 30. These figures use the same billed-account perimeter as earlier reports. Cohorts were finalized May 8 and received by the CFO May 10.

Annual pricing remains \$180. The 28,700 successful new purchases and renewals produce gross billings of \$5.1660m. Processing fees withheld at 20% are \$1.0332m; net subscription cash received is \$4.1328m. Other cleared receipts are \$1.0000m. There are no refunds, new settlement holdbacks or changes to customer-count definitions in this report. Billings and cash receipts are not a statement of recognized subscription revenue.

Observed scale

Measure	Verified scenario observation
Service interruption	21 days with no completed lessons
Capacity restored by May 10	30% of the pre-incident level
April finalized trial conversion	$700 / 70,000 = 1.00\%$
April finalized annual renewal	$28,000 / 70,000 = 40.00\%$

Bank and payment status

The payment ledger shows \$450,000 of April loan interest due April 30 and unpaid at the May 10 close. The cash bridge excludes this unpaid amount; it is not counted as a completed payment. The May 10 bank statement shows \$4.0800m total cleared deposits, including the unchanged \$4.0000m restricted reserve, leaving \$0.0800m freely available. Principal remains \$60.0m. The treasury register contains no signed payment extension, new loan proceeds or owner contribution.

The April bank reconciliation and unpaid-interest notice were recorded as delivered in the fictional lender portal on May 3 at 10 am. The May 11 report supplies the continuing payment status and the newly finalized operating metrics.

E02 Certified bank position - USD millions

The fictional Borrower CFO certifies this reconciliation as of 2027-05-11, using the bank statements for the exact dates shown. Each balance is cleared USD legally owned by the named Borrower. The certification covers all its bank accounts. Only the stated restricted reserve is unavailable; there is no additional pledged, blocked or third-party cash included in the freely available column.

Statement date	Total cleared bank cash	Restricted reserve	Freely available cash
2027-03-31	25.5000	4.0000	21.5000
2027-04-30	4.1203	4.0000	0.1203
2027-05-10	4.0800	4.0000	0.0800

The CFO and treasury controller confirmed that receivables, inventories, supplier advances, other entities' money and undrawn commitments are excluded. This is a signed-role attestation within the fictional simulation; no real person signs it. The certification does not state that the balance satisfies the credit agreement.

Actual cash movement ledger

This bridge begins with the last actual cash balance in report 12. It uses cleared receipts and payments rather than revenue, inventory or expected recoveries. Closing rows are subtotals, not additional cash movements.

Period or date	Cash movement / balance	Treasury record
2027-03-31	21.5000	Starting freely available cash from report 12
April	5.1328	Net subscription settlements plus other receipts
April	-12.0000	Payroll and other ordinary operating payments
April	-13.9000	Emergency recovery contractors and replacement hosting
April	-0.5125	Estimated cash-tax installment paid
April	-0.1000	Capital expenditure paid
2027-04-30	0.1203	Closing freely available cash
May 1-10	0.3000	Cleared receipts
May 1-10	-0.3403	Essential operating payments
2027-05-10	0.0800	Latest freely available cash

Recovery disbursements are supported by invoices DUO-REC-APR totaling \$13.9m. They comprise \$7.0m of incident recovery services and \$6.9m paid for replacement hosting and restoration capacity. The cash bridge records the payments once and makes no assertion that every payment is an immediate accounting expense. The March closing balance already reflects the earlier processor holdbacks; those are not subtracted again.

E03 Payment records and reproduced confirmations

The following records concern Duolingo Learning Services LLC only. All excerpts are synthetic primary-record content reproduced inside this report; their reference IDs do not point to missing attachments. Each custodian's record date is on or before the report's availability date. Monetary ledger amounts are USD millions.

Obligation	Scheduled date	Amount due	Cash settled	Unsettled amount
March interest	2027-03-31	0.4500	0.4500	0.0000
April interest	2027-04-30	0.4500	0.0000	0.4500

The fictional lender receivables controller extracted the ledger at 6 pm May 10. The March receipt settled March 31. No April payment, offset, principal reduction or change in payment date appears through the cutoff. The borrower controller independently matched its outgoing-bank ledger to these balances.

Record DUO-OPS-LOG-0510

Custodian and dating: operations lead; telemetry April 4-May 10; issued and received May 10. Material statement reproduced below from the fictional record.

"The learning service completed no lessons from April 4 through April 24, 2027."

Record DUO-LENDER-0510

Custodian and dating: Scenario Lender D01 receivables controller; May 10 closing ledger; received May 11 at 9 am. Material statement reproduced below from the fictional record.

"April interest of \$450,000 remained unpaid at the close of May 10, 2027."

Record DUO-PROC-0507

Custodian and dating: fictional payment processor settlement team; issued and received May 7. Material statement reproduced below from the fictional record.

"The \$12,000,000 holdback will not be released before June 4, 2027."

Record DUO-BANK-CERT-0511

Custodian and dating: borrower treasury controller; May 10 statements; certified May 11 at 9:15 am. Material statement reproduced below from the fictional record.

"Only \$80,000 of cleared deposits was freely available on May 10, 2027."

E04 Underlying operating schedules

The records below provide the measured populations and accounting components behind the event. They are observations of the fictional Borrower, not an industry survey or another company's finances.

April account or billing record	Component	Result
Opening paid accounts	April 1 roster	800,000
Renewals due	Distinct annual accounts expiring in April	70,000
Renewals successful	Cleared renewal payment within seven days	28,000
Nonrenewals	70,000 less 28,000	42,000
Trial cohort	Distinct first trials ending in April	70,000
New purchases	Successful annual purchase within seven days	700
Closing paid accounts	800,000 - 42,000 + 700	758,700
Gross annual billings	28,700 accounts x \$180	USD 5.1660m
Processing fee withheld	20% x USD 5.1660m	USD 1.0332m
Net subscription receipts	USD 5.1660m - USD 1.0332m	USD 4.1328m

Population file DUO-COHORT-APR was locked May 8 after the final April 30 seven-day observation windows ended May 7. The finance controller received it May 10. Renewals and first-trial purchases are distinct account populations. There were no duplicate family members, refunds, reinstatements after expiry, monthly plans or foreign-currency accounts. The existing per-account price and denominator definitions were retained.

Reconciliation DUO-SETTLE-APR ties \$4.1328m net subscription settlements plus \$1.0000m other receipts to the \$5.1328m April cash inflow. Ordinary processor receivables remain \$6.0m, in addition to the \$12.0m holdback. The holdback was already accumulated in March, so April's bridge contains no second \$12.0m deduction.

Restoration testing on May 10 confirmed functioning capacity equal to 30% of the pre-incident throughput. A signed delivery schedule commits that partial capacity only; no vendor commits the remaining 70% by a specific date. No claim is made that every lost renewal was caused solely by the incident; observed service unavailability and the finalized cohort results are separately documented.

Operating process review

Internal disbursement review DUO-PAYCTRL-0506 records five emergency orders totaling \$13.9m. Operations approved these under ordinary supplier-payment authority. Treasury received the consolidated recovery-payment schedule on April 29, after the disbursements. The file contains no aggregated cash-availability check performed before those five approvals. The remaining service-restoration work still lacks a fixed total price. These are observed process facts, not an additional payment charge.

E05 Funding constraints and dated forecast

Payroll of \$2.4m is scheduled for May 14, against \$0.08m of current freely available cash. Existing replacement-hosting and recovery suppliers require continued payment. No emergency financing is committed. The \$12m processor holdback remains contractually scheduled for June 4 release; the \$6m ordinary settlement receivable and \$4m restricted reserve remain separate assets. Neither receivable is cash now. The forecast includes the \$12m release once and assumes no early release.

Thirteen-week funding schedule - forecast, USD millions

Starting freely available cash is \$0.0800m as of 2027-05-10. Each period's receipts less scheduled payments are added to the prior funding position. Positive values indicate projected residual cash. Negative values indicate cumulative external funding needed to make all listed payments; they are not actual negative bank balances. No financing plug, new debt or uncommitted rescue proceeds are inserted.

Week ending	Expected receipts	Scheduled payments	Net funding position
2027-05-14	0.4000	3.4000	-2.9200
2027-05-21	0.7000	2.2000	-4.4200
2027-05-28	0.8000	2.4000	-6.0200
2027-06-04	12.8000	2.3000	4.4800
2027-06-11	0.9000	3.0000	2.3800
2027-06-18	1.0000	2.2000	1.1800
2027-06-25	1.0000	2.2000	-0.0200
2027-07-02	1.1000	2.6500	-1.5700
2027-07-09	1.2000	2.2000	-2.5700
2027-07-16	1.2000	2.2000	-3.5700
2027-07-23	1.3000	2.2000	-4.4700
2027-07-30	1.3000	2.6500	-5.8200
2027-08-06	1.4000	2.2000	-6.6200

The first forecast week includes the already-unpaid \$0.4500m April interest once. Later monthly interest is included in the budgeted payment weeks; the schedule does not claim those payments have occurred.

Receipts are net of processing fees. June 4 includes the \$12.0m scheduled holdback release and \$0.8m ordinary receipts. No other week includes that release. The remaining \$6.0m ordinary settlement receivable is not accelerated into cash. Essential payments include payroll, replacement hosting, tax and routine expenditure; no shareholder distribution or discretionary acquisition is budgeted.

If the June 4 release misses that forecast week, the June 4 funding position is \$12.0m lower. Restoring service capacity does not itself collect the receivable or pay the overdue interest.